

bids worth ₹2.4 lakh crore and since listing, the stock rose 142% above its issue price on November 6.

The public-sector undertaking (PSU) SJVN, a hydroelectric power generator, saw a sizeable growth of 185% over the study period. Some big players like NTPC, Tata Power and JSW, which are also expanding their green energy portfolios along with a focus on thermal energy, improved their ranking also.

Indian companies are now gearing up for a transition to renewable energy. Tata Power has announced that it will become carbon neutral by 2045 and will achieve 70% of power generation from renewable energy (RE) sources by 2030. The company plans to invest \$9 billion to quadruple the existing RE capacity to 20 GW over the next five to six years. It has also set up a green-field 4.3 GW solar cell module manufacturing plant in Tirunelveli, Tamil Nadu, and has plans to set up 2.8 GW of pumped storage capacity worth ₹13,000 crore in the country.

“Almost 95% of our investments over the next five years will be dedicated to expanding clean and green energy capacity and enhancing transmission and distribution infrastructure. While we are gearing our efforts towards putting in more RE capacity, we are cognisant of the fact that they are intermittent and need support from storage technologies to ensure meaningful and complete energy transition,” Praveer Sinha, CEO & MD of Tata Power, tells *Business Today*.

GOING FOR GROWTH

India is looking at a substantial increase in power demand. According to official estimates, power demand is set to rise at a compound annual growth rate (CAGR) of more than 7% from the previous estimate of 5%, with the central government looking to revise the National Electricity Plan (NEP).

TOP BRASS

➤ The top players continue to grow with rise in power demand

➤ The growth was fuelled by expansion in renewable energy sector

Company	2024/ 2023 Rank	Average Market Cap*	Total Income	PAT	ROE (%)	TTM P/E Multiple
NTPC	19/29	327,335 (84)	182,045 (3)	21,332 (25)	13.9	18.7
Power Grid Corporation Of India	29/35	261,906 (62)	46,914 (1)	15,573 (1)	18.3	20.4
Adani Green Energy	30/25	261,421 (29)	10,460 (14)	1,260 (29)	21.1	135.9
Adani Power	36/51	223,558 (114)	60,281 (40)	20,829 (94)	57.0	13.5
Tata Power Company	67/75	121,512 (74)	63,273 (12)	4,280 (12)	14.0	35.2

NOTE DATA AS OF NOVEMBER 25, 2024; *FROM OCTOBER 1, 2023 TO SEPTEMBER 30, 2024; TOTAL INCOME, PAT, AND ROE FOR FY24; **P/E** MULTIPLE AS OF NOVEMBER 25, 2024; AVERAGE MARKET CAP, TOTAL INCOME, PAT IN ₹ CRORE; **FIGURES** IN BRACKETS REPRESENT YoY CHANGE IN %; RESULTS ARE ON A CONSOLIDATED BASIS; TTM: TRAILING 12 MONTHS **SOURCE** ACE EQUITY

As part of its India energy monitor released recently, Fitch Ratings forecasts thermal power capacity to expand at a measured pace over the next three to five years, despite the push for renewable energy. “We predict an annual addition of 5-6 GW in thermal capacity in the medium term, compared with an average of about 3 GW per annum between 2020 and 2023,” the rating agency said.

Subhadip Mitra, Executive Director of brokerage Nuvama Institutional Equities (Power, Renewables, Industrial Research), says the government has made it clear that India’s energy security is as important as the green transition.

“The NEP mentions that we will add new thermal capacity by FY32 and beyond that we will maintain that. Even to maintain thermal capacity beyond FY32, you would re-

alise that around 50 GW of thermal capacity would have reached retirement age or surpassed it. Between FY30-35, there may be a requirement of 50 GW thermal replacement,” Mitra tells *BT*.

For larger players in the thermal sector such as NTPC, JSW Energy, and Adani Power, Mitra says they may keep investing in thermal for another two to three years and then possibly venture into the thermal replacement cycle.

The NEP and NITI Aayog documents indicate that India’s thermal dependency may remain till 2050, by when renewables capacities will catch-up, says Mitra. “Till then, incremental growth in power demand is likely to be met by renewables while existing demand will still need thermal to meet base load requirements,” he adds.

During the study period, other